

to the issue. This route is best suited for companies who would like to raise Capital without diluting stake of its existing shareholders.

A Preferential issue is an issue of shares or of convertible securities by Listed companies to a select group of persons under Section 81 of the Company's Act, 1956 which is neither a rights issue nor a public issue.

Initial Public Offering (IPO): A company's first issue of shares to general public. IPOs are issued by smaller, younger companies seeking funds for expansion and growth, but large companies also practice this to become publicly traded companies.

Market Capitalization: The total value in INR of all of a company's outstanding shares. It is calculated by multiplying all the outstanding shares with the current market price of one share. It determines the company's size in terms of its wealth.

What Causes Stock Prices To Change?